

Outlook

From	mandla.mokoena@loan.products.keystonebank.co.za
To	analytics.retail@keystonebank.co.za, customer.experience@keystonebank.co.za
Cc	credit.risk.retail@keystonebank.co.za, pricing.customer.value@keystonebank.co.za
Sent	Tue, 06 Jun 2023 13:07:00 -0000

Follow-up: repricing impact by borrower, not only by product

Morning,

I need help with something that sounds simple but probably is not.

Loan Products needs to identify borrowers most exposed to repricing and the questions customers are likely to raise. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause.

The questions I would ask in the room are:

1. What would we expect to see if clear communication reduces avoidable complaints?
2. What evidence would instead support that variable-rate customers show higher payment pressure?
3. How do we rule out that thin affordability buffers matter more than loan size?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use June 2023 as the new evidence point rather than recycling the earlier conclusion. Please work towards which customers need proactive communication and which product assumptions need review. A useful output would be a working Excel file with the exception population and clear columns.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions; transaction-level timestamps, channels, amounts, statuses and error context. One caution: Use recorded loan rates and behaviour; do not infer contractual repricing terms not present in the data.

Regards